

Prevention of Corruption Act, 2002

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Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
2. Prevention of Corruption (First Amendment) Act, 2081 2081.12.03

Act No. 1 of the year 2059

An Act Made to Provide for Timely Legal Arrangements in Relation to Prevention of Corruption

Preamble: Whereas, it is desirable to provide for timely legal arrangements in relation to the prevention of corruption in order to maintain economic discipline, morality, and integrity in society for the happiness, peace, and economic well-being of the general public;

This Act is enacted by Parliament in the first year of the reign of His Majesty King Gyanendra Bir Bikram Shah Dev. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Prevention of Corruption Act, 2059".

(2) This Act shall apply throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and shall also apply to Nepali citizens, public servants, and non-Nepali citizens residing abroad who have committed any act deemed to be corruption under this Act, wherever they may be residing or staying outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,

(a) "Corruption" means an offence punishable under Chapter-2.

(b) "Gratification" means cash, kind, or any other type of benefit or facility, and the term also includes a bribe.

Amended by the First Amendment.(c) "Public entity" means the following institutions or bodies:- (1) Government bodies under the Government of Nepal, Provincial Government, or Local Level, (2) Commissions, committees, corporations, authorities, companies, foundations, boards, centres, councils, and

other organised institutions of a similar nature established by the Government of Nepal, Provincial Government, or Local Level pursuant to prevailing law, (3) Institutions, companies, or committees under full or partial ownership or control of the Government of Nepal, Provincial Government, or Local Level, (4) Universities, colleges, schools, research centres, and other institutions of a similar nature operated by the Government of Nepal, Provincial Government, or Local Level, or receiving full or partial grants from the Government of Nepal, Provincial Government, or Local Level, (5) Institutions operated or guaranteed with loans or grants from the Government of Nepal, Provincial Government, or Local Level, (6) Institutions having full or partial ownership or control of an institution mentioned in sub-clause (2), (3), (4), or (5), (7) Consumer committees or other similar institutions formed, with the permission or pursuant to an agreement of the Government of Nepal, Provincial Government, or Local Level, for the conservation, promotion, utilisation, or consumption of natural resources, or for carrying out development and construction related work, (8) To the extent of work and activities related to a programme or project operated by an institution receiving a grant from the Government of Nepal, Provincial Government, or Local Level, such institution, (9) Any other institution designated as a public entity by the Government of Nepal by publishing a notice in the Nepal Gazette.

Amended by the First Amendment.(d) "Public servant" means a person holding a public office, and the term also includes the following persons:-

- (1) A person holding a position empowered to exercise any public authority or required to perform duties or discharge obligations pursuant to the Constitution, prevailing law, or a decision, order, or agreement of the relevant body or authority,
- (2) A person appointed, nominated, or elected, whether permanently, temporarily, or in any other manner, with or without remuneration, to a legislative, executive, judicial, or administrative position,
- (3) A person appointed, nominated, or elected to receive salary or any other financial facility from any government fund,
- (4) A person appointed, nominated, or elected, whether or not receiving salary, allowance, remuneration, facility, status, or any other benefit, by virtue of an oath taken before the President, the Government of Nepal, Provincial Government, or Local Level, or a public entity, or by virtue of an agreement, undertaking, or condition made with a body of the Government of Nepal, Provincial Government, or Local Level, or a public entity, or from a body of the Government of Nepal, Provincial Government, or Local Level, or an entity under its full or partial ownership, or any other public entity, for the purpose of performing public duties,
- (5) A mediator or any other person of similar status appointed pursuant to prevailing law to resolve any dispute,
- (6) A liquidator, surveyor, or person working in a similar capacity appointed, elected, or nominated pursuant to prevailing law,
- (7) An appraiser who appraises property for the purpose of extending loans from a public entity,
- (8) A person who prepares the design or specification of any building or infrastructure structure of a public entity,
- (9) A consultant, advisor, representative, or expert appointed to perform any work pursuant to an agreement with the Government of Nepal, Provincial Government, or Local Level, or an entity under its full or partial ownership or control, or any other public entity,

(10) A person holding any position in a public entity,

(11) A person holding any other position deemed to be a public office pursuant to prevailing law,

(12) Any other person designated by the Government of Nepal by publishing a notice in the Nepal Gazette.

Amended by the First Amendment.(e) "Revenue" means the following taxes and non-taxes:-

(1) Customs duty, excise duty, income tax, value added tax, or any other tax payable or deposit to the Government of Nepal pursuant to prevailing law,

(2) Tax payable or deposit to the Provincial Government pursuant to prevailing law,

(3) Tax payable or deposit to the Local Level pursuant to prevailing law,

(4) Non-tax revenue payable or deposit to the Government of Nepal, Provincial Government, or Local Level pursuant to prevailing law.

(f) "Gravity of offence" means the gravity of the offence determined on the basis of the condition, circumstance, and severity of the offence committed or attempted under this Act, as well as the intention, capability, post, and status of the person committing or attempting to commit such offence.

(g) "Investigation officer" means a body or officer authorised pursuant to prevailing law to investigate, inquire into, and file a case regarding an offence relating to corruption. Added by the First Amendment.(h) "Proceeds of offence" means any type of property obtained or taken, directly or indirectly, as a result of committing any offence. Added by the First Amendment.(i) "Property" means any type of movable, immovable, tangible, or intangible property, and the term also includes a legal instrument or document establishing a right to such property. Added by the First Amendment.(j) "Document" means a public document, paper, or electronic record or digital preservation prepared through electronic means or in any other form or manner. Chapter-2

Provisions Relating to Offence of Corruption and Punishment

3.

Punishment for Taking or Giving Gratification: Amended by the First Amendment.(1) If a public servant, or a person about to become a public servant, takes or agrees to take gratification, directly or indirectly, for himself or for any other person, as a motive or reward for doing or having done, or for forbearing or having forborne to do, any act relating to his office or position, or for showing or having shown favour or disfavour to any person in connection with any act relating to his office or position, or for doing or having done, or forbearing or having forborne to do, any such act, then depending on the gravity of the offence, punishment shall be as follows:- (a) Up to fifty thousand rupees - Imprisonment from one month to six months (b) More than fifty thousand rupees up to one hundred thousand rupees - Imprisonment from six months to one year (c) More than one hundred thousand rupees up to five hundred thousand rupees - Imprisonment from one year to two years (d) More than five hundred thousand rupees up to two million five hundred thousand rupees - Imprisonment from two years to four years (e) More than two million five hundred thousand rupees up to five million rupees - Imprisonment from four years to six years (f) More than five million rupees up to ten million rupees - Imprisonment from six years to eight years (g) More than ten million rupees up to one hundred million rupees - Imprisonment from eight years to ten years (h) More than one hundred million rupees, whatever the amount - Imprisonment from ten years to fourteen years.

Added by the First Amendment.(1a) If gratification has already been taken pursuant to sub-section (1), the

gratification so taken shall be confiscated.

(2) If any person other than a public servant, with the intention of inducing any public servant to do or forbear to do any act relating to his office or status, or as a reward for having induced him to do or forbear to do such act, or with the intention of inducing the public servant to show or forbear to show favour or disfavour to any person in connection with any act relating to that office or status, or as a reward for having induced him to show or forbear to show favour or disfavour, takes or agrees to take any gratification, directly or indirectly, for himself or for any other person, from any person, whether with or without the knowledge of the public servant, then such person shall be punished with the punishment mentioned in sub-section (1), and if the gratification has been taken, it shall also be confiscated.

(3) If any person gives or offers or agrees to give gratification, directly or indirectly, to a public servant or any other person, to do or cause to be done, or forbear or cause to be forborne, any act pursuant to sub-section (1) or (2), Amended by the First Amendment. then such person shall be punished according to the gravity of the offence with the punishment mentioned in sub-section (1).

(4) Any person who abets the commission of any offence punishable under this section shall, whether or not the offence is committed as a result of such abetment, be liable according to the gravity of the offence: if such person is a public servant, to the punishment provided for that offence, and if any other person, to half of that punishment. 4.

Punishment for a Public Servant Taking Goods or Services Without Payment or at a Reduced Price: If a public servant, knowing that a person has or is likely to have a concern in any work or action done or to be done by him relating to his office or position, or is connected with the work of his office, takes or agrees to take or attempts to take from such person, for himself or for any other person, without the permission of Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of Nepal, Provincial Government, Local Level, or public entity, any goods or services without payment or at a reduced price, then depending on the gravity of the offence, such person shall be punished with imprisonment from six months to one year and a fine according to the amount involved, and if the goods have been taken, they shall be confiscated; in the case of services, the loss for the service shall be determined and a fine according to that loss shall be imposed. 5. Punishment for Accepting Donations, Alms, Gifts, or Contributions: (1) If any public servant, without prior approval of Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of Nepal, Provincial Government, Local Level, or public entity, accepts or causes any member of his family or any other person to accept any type of donation, alms, gift, present, contribution, or any kind of benefit from any person in a manner that may affect any work required to be performed according to the position he holds, or borrows from a person connected with the work required to be performed according to the position he holds, then depending on the gravity of the offence, such public servant shall be punished with imprisonment from three months to six months and the amount involved shall be confiscated. (2) If a public servant receives any gift or present from any person in exchange for gifts or presents purchased from the fund of the Government of Nepal, Provincial Government, Local Level, or public entity, such gift or present shall be deposited immediately in his office. If not deposited, he shall be deemed to have committed an offence under sub-section (1) and shall be punished accordingly, and such gift or present shall also be confiscated. 6.

Punishment for Taking Commission: If it appears that any public servant, in the course of performing his duties, or when purchasing or taking or giving on hire or lease any goods or services required by Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of Nepal,

Provincial Government, Local Level, or public entity, or when taking or giving any contract by the Government of Nepal, Provincial Government, Local Level, or public entity, or when selling or taking or giving on hire or lease goods or services produced by the Government of Nepal, Provincial Government, Local Level, or public entity, is entitled to receive any type of commission, remuneration, brokerage fee, facility, or benefit, then such commission, remuneration, brokerage fee, facility, or benefit shall be deposited in the relevant office within seven days from the date of receipt. If not deposited, such public servant shall be deemed to have committed an offence under section 3 and shall be punished accordingly, and the amount involved shall also be confiscated. 7.

Punishment for a Public Servant Causing Revenue Leakage: If a public servant whose duty it is to collect revenue causes revenue leakage by doing any of the following acts, or helps any person to cause revenue leakage, or abets by being involved himself, then depending on the amount of revenue leaked, he shall be deemed to have committed an offence under section 3 and shall be punished with imprisonment accordingly and shall also be liable to a fine equal to twice the amount of revenue leakage:- (a) Accepting any cash or kind amount, fee, reward, gratuity, or any other type of benefit, or being subject to favour or with the intention of showing favour, assisting any person in any manner in causing revenue leakage, or, whether or not taking any type of benefit or facility from any person, causing loss to the Government of Nepal, Provincial Government, Local Level, or public entity by not collecting revenue or helping to collect or cause to collect less revenue, (b) Determining or causing to determine lesser revenue, or helping in the work of determining or causing to determine no revenue at all, without examining or inspecting the documents that should be examined or inspected as per prevailing law when determining revenue, or without collecting necessary evidence, (c) Misappropriating collected revenue without depositing it as per prevailing law, (d) When determining revenue or appraising goods as per prevailing law, releasing goods without collecting the revenue due, or helping to release goods, by altering the invoice, quality, or quantity of the goods presented. Added by the First Amendment.7a. **Punishment for Other Persons Causing Revenue Leakage:** Any person other than a public servant who in any manner influences, helps, abets, or derives benefit by committing an offence of revenue leakage under section 7 shall be punished as the principal offender under the same section. 8.

Punishment for Acting with Mala Fide Intention to Cause Unlawful Benefit or Loss: (1) If any public servant, with mala fide intention to cause unlawful benefit to himself or any other person, or to cause unlawful loss to Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of Nepal, Provincial Government, Local Level, or public entity, does any of the following acts, then depending on the gravity of the offence, he shall be punished with imprisonment from three months to three years and, if the loss is known, with a fine according to the loss and the loss shall be recovered; if the loss is not known, with imprisonment from three months to three years and a fine from ten thousand rupees to fifty thousand rupees:- (a) Showing an abnormally increased or decreased amount of work or cost without any basis of verification when conducting a feasibility study of a project or preparing an estimate, (b) Using or permitting the use of construction materials of lower quality than the prescribed standard, or certifying or approving that such materials used are of the prescribed standard, (c) Reducing the quality of construction work, changing its size or form, or carrying out or causing to carry out construction work contrary to the prescribed terms and standards, without reasonable cause, or certifying or approving that such construction work is of quality and in accordance with the terms and standards, (d) Without reasonable cause, abnormally increasing the cost estimate and then carrying out or causing to carry out work, Added by the First Amendment.(d1) Determining or causing to determine terms and standards, or fragmenting or causing to fragment, or packaging or causing to package procurement work, contrary to the prevailing law on public procurement, with the intention of

knowingly rendering competition ineffective, limited, or weak, Added by the First Amendment.(d2) Mala fidely evaluating or re-evaluating bids contrary to the terms and standards already approved, Added by the First Amendment.(d3) Mala fidely altering the already approved terms and standards and awarding a contract, Added by the First Amendment.(d4) Purchasing machinery, equipment, or apparatus without approving the procurement plan, Added by the First Amendment.(d5) Inviting bids without ensuring the source of funds, Added by the First Amendment.(d6) Cancelling procurement proceedings or re-inviting bids except as per prevailing law, Added by the First Amendment.(d7) Mala fidely preparing or causing to prepare drawings, designs, and detailed project reports for any public construction procurement work contrary to the approved standards, or in a manner causing loss to the Government of Nepal, Provincial Government, or Local Level, Added by the First Amendment.(d8) A consultant submitting or causing to submit false reports or details in the work of public procurement, construction, and supervision, Added by the First Amendment.(d9) Doing or causing to do any act contrary to the prevailing law on public procurement and the terms, standards, and provisions mentioned in the procurement agreement. (e) Making false bills or receipts and taking or making payments, or taking or making double payments of bills, (f) Without reasonable cause, purchasing or causing to purchase goods abnormally in excess of what is necessary, (g) Conducting or causing to conduct an abnormal appraisal of government or public entity property or public property, (h) Unlawfully registering, possessing, or using government or public property in one's own name or in the name of another, or causing to do so, (i) When required to take any property as mortgage in the name of the government or a public entity, making or causing to make an abnormally high appraisal of that property compared to its actual value, (j) When purchasing goods, purchasing or causing to purchase goods of inferior quality, expired, or at an abnormally high price. (2) If any public servant fails to return, without reasonable cause, within the prescribed time, any instrument or facility obtained by virtue of his official status after such status has ceased, then such instrument or facility shall be taken back, and depending on the gravity of the offence, he shall be liable to a fine from one thousand rupees to five thousand rupees. (3) If any public servant, by doing any act other than those mentioned in sub-sections (1) and (2), mala fidely causes or causes to cause any type of loss or damage to government or public property, then depending on the gravity of the offence, he shall be punished with imprisonment for up to two years, or a fine according to the loss, or both. (4) If any person other than a public servant, with mala fide intention to cause unlawful benefit to himself or any other person, fails to comply with the terms of an oath, undertaking, agreement, contract, license, permit, declaration, or dealership made before Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of Nepal, Provincial Government, Local Level, or public entity, or carries on business in a manner prohibited by prevailing law by violating the rules or procedures prescribed by the Government of Nepal, Provincial Government, Local Level, or such entity, or the terms accepted by it, or misuses the facility or rights of the government or such entity, then depending on the gravity of the offence, such person shall be punished with imprisonment for up to two years, or a fine according to the loss, and the loss shall also be confiscated.

9. Punishment for a Public Servant Preparing a False Document: If any public servant whose duty it is to prepare any document, with mala fide intention to cause loss to Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of Nepal, Provincial Government, Local Level, or government body or public entity or any person, prepares such document, then depending on the gravity of the offence, he shall be punished with imprisonment from three months to one year and a fine from ten thousand rupees to fifty thousand rupees. 10. Punishment for Making a False Translation: If a public servant or any other person authorised or assigned to do translation work, with mala fide intention to cause loss to Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the Government of

Nepal, Provincial Government, Local Level, government body, or public entity, or to cause benefit to himself or any other person, makes a false translation of any document, or translates by including false details, or alters the name, surname, date, fact, or other similar matter, then depending on the gravity of the offence, such person shall be punished with imprisonment from three months to one year and a fine from ten thousand rupees to fifty thousand rupees. 11. Punishment for Altering Government Documents: Any public servant or other person who, without authorisation or in an unlawful manner, corrects, erases, adds to, subtracts from, or tampers with documents of a government body or public entity, shall be punished depending on the gravity of the offence with imprisonment from three months to two years and a fine up to fifty thousand rupees. 12. Punishment for Damaging Documents of Government or Public Entity: If any public servant hides, damages in any manner, or destroys documents of a government or public entity, he shall be punished depending on the gravity of the offence with imprisonment from six months to one year and a fine from ten thousand rupees to fifty thousand rupees. If any kind of loss or damage has occurred as a result of such hiding, damaging, or destroying, that loss shall also be recovered. Amended by the First Amendment.13.

Punishment for Committing Offences Relating to Examinations: (1) If any public servant, except where the authorised officer opens or causes to open the question paper of an examination conducted by a public entity stating a special circumstance, and with mala fide intention to cause unlawful benefit or loss to himself or any other person, prior to the prescribed time, breaches or causes to breach the confidentiality of such question paper, alters or causes to alter answer scripts, conducts or causes to conduct the examination contrary to the prescribed standards and limits, or participates in the examination or examines answer scripts, or alters or causes to alter the result of the examination by doing any other act, then such public servant shall be punished depending on the gravity of the offence with imprisonment from three months to one year and a fine from ten thousand rupees to fifty thousand rupees. (2) If it appears that the result of an examination has been altered under sub-section (1), the investigation officer may send a letter to the relevant body to take necessary action as per law, and upon receiving such letter, it shall be the duty of the relevant body to act accordingly. 14. Punishment for a Public Servant Engaging in Unlawful Trade or Business: If any public servant, in contravention of what is not permitted by prevailing law, engages in trade in his own name or in the name of another or in partnership, or participates in auction bidding or contracts, or becomes a shareholder of any firm, company, or cooperative society, then depending on the gravity of the offence, he shall be punished with imprisonment from three months to six months and a fine from ten thousand rupees to fifty thousand rupees, and the property so acquired shall also be confiscated. Provided that, this section shall not be deemed to prevent the purchase of shares offered for public sale by a public limited company. 15.

Punishment for Claiming to Hold an Office Not Held: If any public servant or any other person claims to have an office, authority, status, or facility that he does not have, or exercises the office, authority, status, or facility of a public servant, or displays a symbol, uniform, or insignia relating to an office he does not hold, or wears or displays any thing resembling such symbol, uniform, or insignia with the intention that others believe it to be the symbol, uniform, or insignia of a public servant's office, then depending on the gravity of the offence, such person shall be punished with imprisonment from one year to two years and a fine from fifty thousand rupees to one hundred thousand rupees. Added by the First Amendment.15a. Punishment for Misuse of Official Status: (1) If any public servant misuses the official status of the position he holds or the work he is required to perform, then depending on the gravity of the offence, he shall be punished with imprisonment for up to one year, or a fine up to five hundred thousand rupees, or both. (2) For the purpose of sub-section (1), if any public servant knowingly does any of the following acts with the objective of obtaining unlawful benefit for himself or any other person, or causing loss or damage to a public entity, he shall be deemed to have

misused his official status:- (a) Making a decision by entering into a matter not within his jurisdiction or interfering in the jurisdiction of another authority, (b) Making a decision or giving an order in a matter where there is a clear conflict of interest, (c) Misusing the immunity, facility, or exemption available by virtue of his official status, (d) Causing any work to be done by exerting undue pressure or inducing an employee under his authority or a person under his influence. 16.

Punishment for Furnishing False Details: (1) If any person, with the intention of obtaining a public servant's office or continuing in such office, or obtaining any status, benefit, or facility, furnishes false details regarding educational qualification, name, three generations, age, caste, surname, address, citizenship, or qualification, or any other matter, or submits a false certificate relating thereto, then depending on the gravity of the offence, such person shall be punished with imprisonment from six months to one year and a fine from ten thousand rupees to twenty thousand rupees. (2) If a public servant whose duty it is to submit a property statement as per this Act or prevailing law gives a false statement by inflating the actual property held in his name or in which he has a share, or by concealing property held in the name of his joint family, then he shall be punished with imprisonment from one month to three months and a fine up to ten thousand rupees. The property so concealed shall also be confiscated. Amended by the First Amendment.17. **Punishment for Misappropriation or Misuse of Property:** If any public servant, with mala fide intention, misappropriates or misuses public, government, or private property in his custody to benefit himself or any other person or body, or destroys, converts, or transfers it, then such property or its loss shall be recovered from him and from any other person who committed the offence in collusion with him, and depending on the gravity of the offence, he shall be punished under section 3. Added by the First Amendment.17a.

Punishment for Causing Loss or Damage by Not Making a Decision: (1) If any public servant is required by law to make a decision within a specific period, and except in cases of reasonable cause, knowingly and mala fide, by taking, giving, or causing to give benefit to himself or any other person, fails to make such decision, thereby causing loss or damage to a public entity or person, then depending on the gravity of the offence, such public servant shall be punished with imprisonment for up to six months, or, if the amount of loss or damage is known, a fine according to that amount, or if the amount is not known, a fine up to fifty thousand rupees, or both. (2) For the purpose of sub-section (1), if a public servant is unable to make a decision due to a proper and reasonable cause, he shall record such cause in the relevant file and inform the authority one level above. (3) Notwithstanding anything contained in this section, if there is a situation where a specific work is required to be done within a specific period pursuant to a contract or agreement, it shall be as per that contract or agreement. (4) The provisions of this section shall not be deemed to prevent any action under prevailing law or claiming compensation in relation to loss or damage caused to any person due to the failure of a public servant to make a decision under sub-section (1). 18. **Punishment for Giving Unlawful Pressure:** If any public servant or any other person, through threats of killing, kidnapping, deprivation of property, defamation, fear, terror, or any other type of unlawful pressure, causes a public servant or any other person to commit an offence punishable under this Act, then depending on the gravity of the offence, such person shall be punished with imprisonment from four years to eight years and a fine from one hundred thousand rupees to five hundred thousand rupees. 19.

Punishment for Submitting a False Report: (1) If any public servant or other person authorised to conduct an audit in a government body or public entity, when conducting an audit, mala fide prepares an audit report showing matters not in the transactions or omitting facts that have occurred, then depending on the gravity of the offence, such public servant or other person shall be punished with imprisonment from three months to one year and a fine from ten thousand rupees to fifty thousand rupees. (2) Other than as mentioned in

sub-section (1), if any public servant or other person whose duty it is to study or investigate any matter in the course of the work of a government body or public entity and submit a report, when submitting such report after study or investigation, mala fide conceals or hides facts that have occurred, or shows matters that have not occurred or been done, then depending on the gravity of the offence, such person shall be punished with imprisonment from three months to one year and a fine from ten thousand rupees to fifty thousand rupees. 20. Deemed Unlawful Acquisition of Property: (1) If the property statement submitted by a public servant deemed to hold a public office as per prevailing law appears inconsistent and abnormal, or if such public servant, without reasonable cause, leads an inconsistent and abnormally high standard of living, or if it is proved that he has given donations, alms, gifts, loans, contributions, or gratuities to any person beyond his capacity, then he shall be required to prove from what source such property was acquired, and failing which, such property shall be deemed to have been acquired unlawfully. (2) If a 34. To obtain services: (1) The investigation officer may, as necessary, obtain the services of an expert or specialized body on the relevant subject while conducting investigation and inquiry and other related proceedings. (2) To obtain services pursuant to sub-section (1), the investigation officer shall appoint the concerned expert or specialized body, and while making such appointment, the investigation officer shall enter into an agreement specifying the work to be performed by such expert or specialized body, the rights they may exercise, the conditions to be observed, the procedures, and the remuneration and other facilities to be received by such expert or specialized body. (3) If the investigation officer requires the services of an employee of the Government of Nepal or a specialized body, then, notwithstanding anything contained in the prevailing law, such employee shall be deputed for the duration requested by the investigation officer. 35.

To file away: If, during the conduct of investigation and inquiry pursuant to this Act, the alleged offence cannot be proven based on the evidence collected, the investigation officer may, by preparing a memo with reasons, file away the related complaint, and upon a decision to file away, notice thereof shall be given to the accused person and the complainant. Provided, however, that if any new evidence is discovered later, nothing in this section shall be deemed to prevent the re-initiation of investigation and inquiry proceedings in relation to such complaint. 36. To file a case: If, from the investigation and inquiry conducted against a person concerning an allegation of an offence under this Act, there is reasonable cause to believe that such person has committed the said offence, the investigation officer shall file a case before the officer authorized to hear cases under the prevailing law for the proceedings and adjudication of a corruption-related case. Chapter-4 Provisions relating to Corruption Monitoring 37. National Vigilance Center: (1) For the effective control of corrupt activities and to enhance public awareness against corruption, the Government of Nepal may establish a National Vigilance Center under the direct supervision and control of the Prime Minister. (2) The Government of Nepal may designate an officer of the special class of the civil service as the head of the Center pursuant to sub-section (1), and the Center shall have such employees of the service of the Government of Nepal as necessary. Amended by the First Amendment.38.

Functions, duties and powers of the National Vigilance Center: (1) The functions, duties and powers of the National Vigilance Center established pursuant to sub-section (1) of Section 37 shall be as follows:- (a) To collect information on whether the activities to be performed by public entities are being performed regularly, (b) If it is found that activities that should be performed regularly by public entities are not being performed, to caution such entities in that regard, (c) To monitor the property details and income submitted by any public servant pursuant to this Act or prevailing law, (d) To maintain regular surveillance on places or works where corruption may occur, and to arrange for necessary spot checks and investigations, (e) To provide necessary suggestions to the Government of Nepal if it appears that any improvement is needed in policies, strategies, and related laws to be adopted concerning corruption control, (f) To arrange for the placement of complaint

boxes in public entities, (g) To give any suggestion or direction to the concerned body as necessary with the aim of preventing corruption, (h) To obtain necessary details or information regarding corruption from the body or official investigating corruption-related offences and to keep them updated, (i) To forward in writing any information received regarding corruption to the concerned body, (j) To conduct technical examination of projects constructed or operated by public entities as necessary, (k) To perform, or cause to perform, other functions arising in relation to corruption control, (l) To perform, or cause to perform, other functions as specified by the Government of Nepal. (2) For the purpose of collecting information pursuant to clause (a) of sub-section (1), the National Vigilance Center may request necessary details or documents from the concerned body. (3) If the concerned official of a public entity fails to act according to the direction or suggestion given pursuant to clause (chha) of sub-section (1), or fails to submit the details or documents pursuant to sub-section (2), the National Vigilance Center may write to the concerned authority to take action against such official according to law. (4) Upon receipt of a written communication pursuant to sub-section (3), the concerned authority shall take necessary action against such official and inform the National Vigilance Center thereof. Chapter-5 Miscellaneous 39. May take details or freeze transactions or accounts: (1) Notwithstanding anything contained in the prevailing law, if, during the investigation of a corruption offence, information comes to light from any source regarding transactions or accounts operated in any bank or financial institution, whether within or outside the country, of any person, the investigation officer may order the freezing of such transactions or accounts.

Pursuant to the order of the investigation officer, the concerned bank or financial institution shall freeze such transactions or accounts. Provided, however, that if it is necessary to freeze such transactions or accounts with a bank or financial institution located abroad, the investigation officer may cause the transactions or accounts to be frozen through diplomatic channels.

(2) If the head of the concerned bank or financial institution located in Nepal fails to freeze the transactions or accounts pursuant to sub-section (1), the investigation officer may impose a fine of up to fifty thousand rupees on such head.

(3) The investigation officer may, if deemed necessary during investigation, request details of or freeze the property of a person holding a public office. 40. May not issue passport or may impound: Notwithstanding anything contained in the prevailing law, based on the gravity of the offence, the circumstances and extent of the offence committed by the accused, and the punishment that may be imposed upon conviction, the investigation officer may order the concerned body not to issue a passport to an accused, or if already issued, to impound such passport. 41. May restrict from leaving a place: If proceedings are initiated against a person pursuant to this Act, considering the gravity of the offence committed by such person, the circumstances or situation at the time of committing the offence, and the quantum of punishment upon conviction, the investigation officer may issue an order prohibiting an accused from leaving any place or going to any place without the approval of the investigation officer. 42.

Provisions relating to service of notice: (1) Notwithstanding anything contained in the prevailing law, when a notice is required to be served in the name of a foreign person in an offence under this Act, if such person has any office or representative within Nepal Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the notice shall be served in the name of such office or representative, and the notice served in this manner shall be deemed to have been duly served. (2) If there is no such office or representative as referred to in sub-section (1), if such person has a principal place of business, or a permanent residence address, or any address provided by such person for correspondence at the time of transaction, the notice shall be served at such address through telex, telefax, or other telecommunication

means capable of being recorded, or by registered post, and the notice served in this manner shall be deemed to have been duly served. (3) Notwithstanding anything contained in sub-section (1) or (2), if there is a separate provision in any treaty to which the Government of Nepal or NepalOmitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. is a party for serving notice in the name of a person residing abroad, nothing in this section shall be deemed to prevent service of notice in accordance with such provision. 43. To publish notice: If, while sending a notice or serving a notice in the name of a person pursuant to this Act or any other prevailing law, a report is received stating that such notice could not be delivered or served due to the address of such person not being found or for any other reason, then, notwithstanding anything contained in the prevailing law, a public notice shall be published in a national newspaper (in a daily English newspaper in the case of a foreigner) at least twice, giving such person a period of up to thirty days to appear, stating a brief description of the matter if an investigation has been conducted or a case has already been filed before the officer hearing the case, and upon such publication of notice, such person shall be deemed to have been duly notified or served with notice, notwithstanding anything contained in this Act or any other prevailing law. 44.

Duty of government bodies and public entities: If the head of any government body or public entity receives any information that corruption has occurred in his/her office or any office under his/her jurisdiction, he/she shall immediately take custody of the documents and files related to such matter and keep them safe, and after ascertaining the truth from the persons and employees related to such matter, if there appears to be a reason to believe that corruption has occurred, he/she shall send such documents to the concerned body for investigation and inquiry. 45. Case may be filed against a retired person also: Notwithstanding anything contained in this Act, if a public servant, while holding a position, has committed corruption by misappropriating or causing damage or loss to government or public property or property of an institution owned by the Government of Nepal, a case may be filed against such person even after he/she has retired from that position. 46. Proceedings and adjudication of case not barred: Notwithstanding anything contained in the prevailing law, even if the accused or defendant dies before or after the filing of a case under this Act, the proceedings and adjudication of the case shall not be barred. Amended by the First Amendment.47.

Property to be frozen, seized or confiscated: (1) If it is proven that any person has kept property acquired by committing any act deemed to be corruption pursuant to this Act or prevailing law, and any other property accrued therefrom, in their own name or in the name of any other person, such property shall be confiscated. (2) Notwithstanding anything contained in sub-section (1), if the right to such property has been transferred to someone else and a consideration has been maintained at the time of such transfer, that amount shall be deemed to be proceeds of crime. (3) In the course of investigation of an offence under this Act, property of the following description held in the name of any person, if found to be connected to the offence, shall be confiscated upon proof of the offence:- (a) Cash or goods related to the offence, (b) Property, instruments, or other monetary tools used to commit the offence. (4) For the purpose of confiscation of property under sub-section (1) or (3), such property may be identified, searched, or frozen pursuant to prevailing law. (5) The management of property confiscated or frozen under sub-section (1), (3), or (4) shall be carried out pursuant to prevailing law. (6) If the property under sub-section (1), (3), or (4) has been wholly or partially converted or transformed into, mixed with, or rendered inseparable from any other property, such property shall also be confiscated or frozen under the same sub-section. (7) If money obtained from an offence under this Act is mixed with property from a lawful source, such property shall be confiscated up to the assessed value of the mixed amount. (8) If any person, not involved in the offence under this Act, knowingly receives, purchases, or holds any property obtained from such offence, such property shall be confiscated. Provided, however, that an offence under the prevailing law relating to money laundering shall be subject to that law. (9) Nothing

contained in this section shall be deemed to adversely affect the rights of a third party who is not directly or indirectly involved in a corruption offence over their property. (10) Other provisions relating to the freezing or confiscation of money or other property obtained from an offence shall be as per prevailing law. 48.

To order freezing of property of a foreign person: (1) If any foreign person fails to appear before the investigation officer pursuant to a notice given by the investigation officer or a notice served under Section 42, and if such person has any property, right, interest, or concern within Nepal Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the investigation officer may order that such property, right, interest, or concern be kept in its existing condition as specified by the investigation officer, or not be taken outside Nepal Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., until such person appears before the investigation officer, and it shall be the duty of all concerned to comply with such order. (2) If any person fails to comply with an order under sub-section (1), the investigation officer may impose a fine of up to one hundred thousand rupees on such person, and if the Government of Nepal, a provincial government, a local level, or a public entity has suffered any kind of loss or damage due to such non-compliance, that amount shall also be recovered from such person. 49. Punishment for filing false complaint: If a person is found to have filed a false complaint against any public servant or any other person with the intention of causing any kind of loss or damage or trouble, without reasonable cause for lodging the complaint, the investigation officer may impose a fine of up to five thousand rupees on such person. 50.

Provisions relating to property details: (1) Amended by the First Amendment. A person holding any position in a public entity pursuant to sub-clauses (1), (2), (3), (4), (5), (6) or (9) of clause (ga) of Section 2, or a public servant pursuant to sub-clauses (1), (2), (3) or (4) of clause (gha) of the same Section, shall, within sixty days from the date of assuming such office, and a person holding a public office at the time of commencement of this Section shall, within sixty days from the date of commencement of this Act, and thereafter within sixty days from the date of expiry of each fiscal year, submit an updated statement of property, including the source or origin of property held in the name of themselves and their family members, to the body or official specified by the Government of Nepal by publishing a notice in the Nepal Gazette. (2) If a person who is unable to submit the property details within the period specified in sub-section (1) Omitted by the First Amendment. requests an extension of the deadline, stating the reason for being unable to submit such details, the concerned body or official may extend the deadline by a maximum of thirty days. Added by the First Amendment. (2a) If, during the period when property details are required to be submitted, any public servant is on extraordinary or study leave, or is on leave due to hospitalization or incapacitation, or is on leave for any training, study, conference, or negotiation as per a decision of the Government of Nepal, or is on deputation, the property details shall be submitted within thirty days from the date such leave or deputation ends and the person is required to report back to the concerned office. Added by the First Amendment. (2b) Notwithstanding anything contained in sub-sections (1), (2) and (2a), the investigation officer may, by publishing a notice in the Nepal Gazette, specify whether public servants working in particular grades, groups, bodies, or institutions must or must not submit an updated statement of property, including the source or origin of property held in their own name or in the name of their family members, for specific periods. Added by the First Amendment. (2c) Notwithstanding anything contained in sub-section (1), the investigation officer may, in the course of investigating a corruption-related offence, set a deadline and order other public servants to submit an updated statement of property, including the source or origin of property held in the name of themselves and their family members.

Amended by the First Amendment. (3) A public servant who fails to submit property details within the period

specified in sub-section (1), (2), (2a), (2b) or (2c) shall be liable to a fine of ten thousand rupees, and the concerned body or official may, presuming that such public servant and his/her family members hold illegal property, conduct an investigation.

(4) Property details submitted pursuant to this section shall be kept confidential. Provided, however, that if a request for property details is made in the course of investigation and inquiry under this Act, such details may be made available to the concerned official. Amended by the First Amendment.51. Punishment for obstructing: (1) If any person obstructs any action being taken or taken in the course of investigation, prosecution, or judicial proceedings of an offence under this Act, the officer hearing the case shall, based on the report of the investigation officer, punish such person with imprisonment for a term of up to six months, or a fine of up to twenty-five thousand rupees, or both.

(2) For the purpose of sub-section (1), a person shall be deemed to have obstructed if he/she commits any of the following acts:-

(a) Intimidates, threatens, or uses force to induce the production of false evidence or false testimony, or gives, agrees to give, or offers any undue advantage,

(b) In any way obstructs a witness from appearing before the officer hearing the case, or from collecting or presenting evidence,

(c) Intimidates, threatens, obstructs the movement of, uses force against, or induces by offering undue advantage, an official responsible for investigation, prosecution, adjudication, or law enforcement in the course of his/her official duties, or in any other way attempts to divert such official from performing his/her duties.

(3) Notwithstanding anything contained in sub-section (1), if any act constitutes contempt of court under prevailing law and obstructs judicial proceedings, punishment shall be as per that law. 52. Confidentiality of information: (1) Information or intelligence received by the investigation officer, or evidence understood or collected in the course of investigation and inquiry of a corruption offence, shall not be publicly disclosed before the filing of a case.

(2) Notwithstanding anything contained in sub-section (1), the investigation officer may bring to light, as necessary, details concerning the inquiry, investigation, and probe of any matter of public importance that he/she deems appropriate. Added by the First Amendment.52a.

Protection of complainant, witness or employee involved in investigation: The investigation officer shall adopt necessary measures to protect the person lodging a complaint or giving information, a witness giving testimony or evidence, an expert, a victim, or employees involved in the investigation from potential retaliation or fear, threat from the offender or any other person in relation to an offence under this Act. 53. Departmental action against employees involved in investigation and inquiry: If it is proven that an investigation officer or other employee involved in investigation and inquiry has, in the course of implementing this Act, knowingly committed any act with the intention of harassing any person, departmental action shall be taken against such employee. 54. Must serve imprisonment: Notwithstanding anything contained in the prevailing law, a person sentenced to imprisonment by a court for an offence under this Act must serve the imprisonment. 55. Remission in punishment claim possible: The investigation officer may present an accused who assists in the investigation work under this Act as a witness on his/her behalf and grant full or partial remission in the claim for punishment against such accused. Provided, however, that if the assistance provided by him/her is not corroborated by other evidence or proof, or if he/she makes a statement before the officer hearing the case

that is contrary to the assistance provided to the investigation officer, a case may be refiled against him/her, notwithstanding anything contained in this Act or prevailing law. 56. No action: Notwithstanding anything contained in the prevailing law, no action shall be taken against a public servant for providing information to initiate legal proceedings or to prevent corruption regarding an act of corruption that has occurred or is about to occur, on the ground of breach of confidentiality under the law relating to his/her service conditions, in respect of the assistance rendered or provided by him/her. Added by the First Amendment.56a. Consequences of corrupt acts: (1) If any concession contract or other document of a similar nature has been executed as a result of a corrupt act or activity, then, notwithstanding anything contained in the prevailing law, such contract or document shall be annulled or cancelled upon conviction of corruption by a court, and if any other legal proceedings are to be initiated in that regard, proceedings shall be conducted accordingly. (2) Nothing contained in sub-section (1) shall be deemed to adversely affect the rights of a third party acquired in good faith. 57.

58. Provisions relating to reward: The investigation officer may give a suitable reward to any person who provides assistance to the investigation officer in the work of spot inquiry, investigation, or collection of other evidence in an offence punishable under this Act. 59. Special provisions in corruption-related cases: Notwithstanding anything contained in the prevailing law, in a case filed or to be filed under this Act, the following matters shall be dealt with as follows:-

(a) If any public servant or any other person has committed any act deemed to be an offence under this Act, or in the course of committing such act has also committed any act deemed to be an offence under any other prevailing law, there shall be no bar to initiating separate proceedings against him/her under such other prevailing law.

(b) If, while committing any act deemed to be an offence under this Act, or in the course of committing such act, any adverse effect is also caused on the rights, property, or interests of any person, there shall be no bar for such person to file a separate case.

(c) If, after a case has been filed against a person for an offence under this Act, it appears during the hearing of evidence in such case that a case should also be filed against another person, there shall be no bar to filing a separate charge sheet against such other person.

(d) If any public servant or other person has caused illegal loss or damage to the Government of Nepal, a provincial government, a local level, or a public entity, the filing of a separate case for recovery thereof shall not bar the filing of a separate case for an offence under this Act.

(e) If a case has been filed under this Act against any public servant or person, and there is any legal provision for recovery of loss or damage caused to the Government of Nepal, a provincial government, a local level, or a public entity from such public servant or person, the filing of a case under this Act shall not be barred merely on that ground, nor shall the case be dismissed on that ground.

(f) A case under this Act shall not be withdrawn or compromised. 60. Identity of informant and details to be kept confidential: The name and address of an informant who provides information that an offence under this Act has been committed or is about to be committed shall be kept confidential if the informant so desires. Added by the First Amendment.60a.

Proceedings for return of property located abroad: If property acquired by committing an offence under this Act is found to be located abroad, the Government of Nepal shall make necessary arrangements for the identification, freezing, and return of such property based on mutual understanding or treaty. 61. Unclaimed

goods to belong to the Government of Nepal: (1) If the owner of goods related to an offence punishable under this Act is not traced, the investigation officer shall issue a public notice giving a period of thirty-five days for any claimant to come and claim the goods seized by the investigation officer. (2) If no claim is made within the period specified in sub-section (1), or if a claim is made but does not appear to be established due to lack of sufficient evidence, such goods shall be deemed unclaimed goods and shall belong to the Government of Nepal. 62. Goods may be auctioned: (1) If any goods seized in relation to an offence punishable under this Act are likely to rust, break, or be damaged due to other constraints, or are perishable, or are likely to depreciate in value due to becoming old, or are unclaimed, or cannot be maintained or kept due to lack of space, such goods may be sold by auction after completing the procedure as per prevailing law. (2) The proceeds from the auction sale under sub-section (1) shall be deposited in a deposit account. If it is decided to return such goods to the concerned owner, the owner shall only be entitled to receive the amount obtained from the auction sale. Added by the First Amendment.62a. Compensation may be recovered for loss or damage: Notwithstanding anything contained elsewhere in this Act, if any kind of loss or damage has been caused to any body or person as a result of a corrupt act, separate proceedings may be initiated under prevailing law for recovering compensation from the body or person who caused the loss or damage by committing such an offence. Added by the First Amendment.62b.

Evidence recorded in audio, video or audiovisual electronic medium admissible: Notwithstanding anything contained in the prevailing law, if evidence related to an electronic recording of audio, video, or audiovisual material that confirms that a person has committed an offence under this Act or attempted to commit such an offence is presented before the investigation officer or the court, such recording may be admitted as evidence by the court. Provided, however, that the person concerned may be examined as a witness regarding the authenticity or credibility of how such evidence was recorded. Added by the First Amendment.62c. Witness may be examined via audiovisual communication (video conference): (1) Notwithstanding anything contained in the prevailing law, if, in a case concerning an offence under this Act, a witness who needs to be examined is incapacitated or a minor, or cannot be produced in court due to reasons of retaliation or security, the concerned party may submit a petition stating the same to the court hearing the case, and the concerned court may order the examination and cross-examination of such witness via audiovisual communication, subject to the conditions specified by the court. (2) When examining a witness pursuant to sub-section (1), examination, cross-examination, or re-examination of the witness may be conducted with the permission of the court and under the conditions specified by the court. Added by the First Amendment.62d. Special provisions relating to investigation: (1) In order to make the investigation more effective by collecting information necessary for the investigation of a corrupt offence, the investigation officer may, for reasonable and sufficient cause, deploy informants or intelligence sources. (2) If information or intelligence is received from informants or intelligence sources deployed pursuant to sub-section (1) or through any other means that a public servant is demanding a bribe, the investigation officer may, in the course of the investigation, provide the amount demanded as a bribe to such public servant through a subordinate employee, the complainant, or any other person as a decoy and evidence. 63. No bar: Nothing contained in this Act shall be deemed to bar any other body or official from exercising the powers relating to investigation, inquiry, and other proceedings or filing cases concerning corruption offences conferred upon them under any other prevailing law. 64. Power to make rules: The Government of Nepal may make necessary rules to implement the objectives of this Act. 65.